₹1.72 LAKH CRORE | **Total capital outlay on defence; focus on hi-tech procurement**



ANI

ON TARGET

The change in allocation may not be substantive but is directed towards the right areas—border infra, hi-tech acquisitions

BY **PRADIP R. SAGAR**

HIGHLIGHTS

- **Budgetary allocation to defence: Rs 6.21 lakh crore, up from Rs 5.94 lakh crore in 2023-24**
- **BRO gets a 30 per cent boost: Rs 6,500 crore; DRDO, Coast Guard get higher amounts too**
- **Total revenue allocation: Rs 2.8 lakh crore, including Rs 6,000 crore for the government's Agnipath scheme of recruitment**

AT RS 6.21 LAKH CRORE, DEFENCE HAS GOT THE LARGEST—AROUND 13 PER CENT—SHARE OF THE BUDGET. The allocation also amounts to 1.9 per cent of the projected GDP, which has been more or less the same as last year. But as former army chief Gen. Ved Malik rued on X, "There is lack of appreciation of 2.5 front threats & modernisation requirements." He was talking about preparing for a two-front war scenario with Pakistan and China, which experts say will need at least 2.5 per cent of the projected GDP.

However, the government does seem cognisant of the threat from China, which despite ongoing diplomatic negotiations to reduce border tensions, has been steadily strengthening border infrastructure, forcing India to ramp up its own preparations. Accordingly, the Border Roads Organisation (BRO) has seen a 30 per cent rise from FY24 to Rs 6,500 crore. Key projects expected to receive funding boosts include the Nyoma airfield in Ladakh, the strategically important Shinku La tunnel in Himachal Pradesh and the Nechiphu tunnel in Arunachal Pradesh.

Almost a third of the budget—or Rs 1.72 lakh crore—is capital outlay for modernisation, but it pales in comparison with the Rs 2.8 lakh crore set aside for day-to-day operations and salaries of the world's second largest military. The revenue spend also includes nearly Rs 6,000 crore for the contentious Agnipath recruitment scheme.

The outlay for modernisation is expected to fill critical capability gaps through big-ticket acquisitions, whether it is the latest technology, fighter aircraft, ships, submarines, platforms or drones. Thus, Rs 40,777 crore has been earmarked for aircraft and aero engines, Rs 23,800 crore for additions to the naval fleet and Rs 6,830 crore for naval dockyard projects. With *atmanirbharta* still a key mantra, Rs 1.05 lakh crore is meant for domestic capital procurement to boost the indigenous defence sector. Research remains a preoccupation—the Defence Research and Development Organisation gets an outlay of Rs 23,855 crore. The thrust—Rs 13,208 crore—is towards developing new technology and focusing on fundamental research.

India's budget allocation for defence has seen a steady increase over the past four years—from Rs 4.71 lakh crore in 2020 to Rs 6.21 lakh crore now. But for a country that aspires to be the third-largest economy soon, India still lags behind global powers like the US, China and Russia when it comes to military spending in absolute terms. ■